

and buys the stock, or sells it short, eventually pushing the stock to new highs (upward breakouts) or new lows (downward breakouts).

Identification Guidelines

[Table 56.1](#) lists identification guidelines.

[Table 56.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	Look for price to rise into a curving turn (convex), forming an inverted bowl or saucer.
Daily or weekly scale	Rounding tops are often long enough to appear on the weekly charts as well as the dailies.
Even end price	The price at the start of the pattern is close to the end of the pattern. Don't use this as a hard rule to exclude rounded turns with uneven bottoms. Think of this as guidance to avoid scallop-shaped patterns which tend to be narrower than rounded turns.
Volume	Volume is occasionally higher on either end and shallower in the center.
Breakout direction	A close above the highest high in the pattern signals an upward breakout; a close below the lowest rim signals a downward breakout.